

## PBM COMPENSATION · AUDIT WORKSHEET

# Five Revenue Streams Flow from Your Plan to Your PBM. *Most Plan Sponsors Track One.*

Three audit passes. Five compensation mechanisms. One contract.

This handout decodes the five PBM compensation mechanisms that flow from your plan to your PBM: spread pricing, rebate retention, administrative fees, manufacturer-direct payments, and PBM-owned-pharmacy margin. Most plan sponsors only track the administrative fee, the smallest of the five streams. The four others are where aggregate compensation actually sits.

## 01 Identify which mechanisms your contract authorizes

Open your contract. For each of the five mechanisms, find the clause that authorizes (or excludes) it. Spread pricing → pricing methodology clause. Rebate retention → rebate definition + pass-through clauses. Administrative fees → fee schedule. Manufacturer-direct → rebate exclusions. Owned-pharmacy margin → network and routing clauses.

Classify each: explicitly authorized, implicitly authorized (silent), or excluded.

## 02 Estimate the dollar magnitude of each mechanism

For each authorized mechanism, estimate annual dollar magnitude on your plan. Spread = per-claim margin × claim volume. Rebate retention = gross rebate × retention percentage. Administrative fees = per-claim or PEPM × volume. Manufacturer-direct = typically undisclosed (interrogate). Owned-pharmacy margin = specialty routing × per-fill margin.

## 03 Map the disclosure obligations

For each mechanism, find the contract's disclosure obligation: what reporting must the PBM provide, on what cadence, with what level of detail. Some mechanisms are disclosed quarterly; others are typically not disclosed at all.

The disclosure gap is the renewal-leverage item.

## 04 The Pattern PBS Sees Most Often

**Across hundreds of PBM contract reviews and audits annually at PBS:** aggregate PBM compensation typically exceeds the headline administrative fee by a meaningful multiple. The other four mechanisms are where the rest sits. Plan sponsors who only track administrative fees see a small fraction of total PBM compensation.

## 05 Paste-Ready: Send to Your Broker or PBM

### COMPENSATION AUDIT WORKSHEET

| Mechanism                                 | Authorized?    | Disclosed?      | Est. \$/yr |
|-------------------------------------------|----------------|-----------------|------------|
| 1. Spread Pricing .....                   | Y / N / Silent | Y / N / Partial | \$_____    |
| 2. Rebate Retention .....                 | Y / N / Silent | Y / N / Partial | \$_____    |
| 3. Administrative Fees .....              | Y / N / Silent | Y / N / Partial | \$_____    |
| 4. Manufacturer-Direct .....              | Y / N / Silent | Y / N / Partial | \$_____    |
| 5. Owned-Pharmacy Margin .....            | Y / N / Silent | Y / N / Partial | \$_____    |
| -----                                     |                |                 |            |
| Total Estimated Annual Compensation ..... |                |                 | \$_____    |
|                                           |                |                 |            |
| Headline Administrative Fee (only) .....  |                |                 | \$_____    |
| Multiple (Total / Headline) .....         |                |                 | ____x      |

Disclosure gaps to address at renewal:

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## 06 This Quarter's Action Plan

### STEP 1 • THIS WEEK

#### Map authorization for each mechanism

Read the relevant contract clauses. Classify each mechanism as authorized, silent, or excluded.

### STEP 2 • WEEK 2

#### Estimate dollar magnitude per mechanism

Use claims data and the worksheet above. Compare total to the headline fee.

### STEP 3 • WEEK 3

#### Document disclosure gaps

Which mechanisms have no required disclosure? Those are the renewal-leverage items.

### STEP 4 • AT RENEWAL

#### Negotiate disclosure obligations clause-by-clause

A PBM confident in its compensation structure welcomes disclosure. Resistance is informative.